



ZIMBABWE INTEGRATED CAPITAL AND RISK PROGRAMME

('ZICARP')

GRS 5 – Governance and Risk Management Specification for

Own Risk and Solvency Assessment



TABLE OF CONTENTS

1. Introduction.....	3
2. Description of the Insurer's Enterprise Risk Management Framework	8
3. Insurer Assessment of Risk Exposures	9
4. Assessment of Risk Capital and Prospective Solvency Assessment.....	13
5. GRS 5 A1: Glossary	16



1. Introduction

- 1.1. The purpose of this Governance and Risk Management document is to give guidance to an insurer and/or insurance group (hereafter referred to as “insurer” or “insurers”) with regards to reporting on its Own Risk and Solvency Assessment (ORSA) [as required by Zimbabwe Integrated Capital and Risk Programme (ZICARP)].

Definition of ORSA

- 1.2. ORSA is defined as a confident internal assessment of the material and relevant risks identified by the insurer associated with an insurer's current business plan and the sufficiency of capital resources to support those risks.
- 1.3. ORSA should be appropriate to the nature, size and complexity of an insurer.
- 1.4. ORSA is a component of an insurer's Enterprise Risk Management (ERM) framework. The ORSA report must link the insurer's risk identification, assessment, monitoring, prioritising, and reporting process with its strategic planning and capital management.
- 1.5. The ORSA report must also reflect the insurer's approach to ERM. The ORSA report will be supported by the insurer's internal risk management materials.

Objectives of ORSA

- 1.6. The seven (7) objectives of ORSA under ZICARP are as follows:



- i. Ensure that insurers regularly assess the adequacy of their risk management;
- ii. Ensure that insurers regularly assess their current and likely future solvency positions;
- iii. Ensure that the insurer's board of directors and senior management understand the risks that originate from its strategic/business plan and its overall capital requirements;
- iv. Ensure that the insurer's board of director and senior management contribute to the improvement of risk management and harmonize risk management with liquidity and capital management;
- v. Ensure that insurer's board of directors and senior management develop and implement appropriate control measures;
- vi. Ensure that the insurer's management and board of directors maintain oversight on the adequacy of the company's risk management and capital resources; and
- vii. Provide IPEC/Commission with the insurer's perspective of the capital resources necessary to achieve its business strategies and remain solvent given its risk profile, as well as insight into the risk management and governance procedures surrounding this process.

Exemption/Waivers

- 1.7. Every insurer in Zimbabwe would be required under ZICARP to report its Own Risk and Solvency Assessment (ORSA). No exemptions or waivers are available unless approved by IPEC.



Link to Previous Regulations

1.8. The ORSA framework is linked to the following regulations:

- i. Circular 14 of 2022 which spells out the issues of corporate governance and risk management. The purpose of the directive is to ensure that insurers have effective risk management systems, including governance structures, internal controls, and oversight functions; and
- ii. Insurance Act [Chapter 25:08].

ORSA Requirements

1.9. The ORSA requirements are tabulated below:

Requirement	Description of Requirement	Frequency
Assessments and Solvency estimations	Assessment of risk management framework, and make estimations of both current and future solvency projections	Annual
Documentation requirements	Internally document the process and results of the ORSA assessment	Continuous Process
Internal reporting requirements	Report results of the ORSA assessment to senior management and the board of directors	Annual
Submissions to IPEC	Submit ORSA report to IPEC	Annual

1.10. Insurers should consider the guidance provided in this manual when conducting ORSA and compiling ORSA Report.

Components of ORSA

1.11. The ORSA Report should discuss the following major areas which will allow IPEC to achieve a high-level understanding of the insurer's ORSA:

- i. Description of an Insurer's ERM framework;
- ii. Insurer's Assessment of Risk Exposure; and



- iii. Assessment of Risk Capital and Prospective Solvency Assessments.

Link between ORSA and ERM

- 1.12. The contents of the ORSA Report should be consistent with the ERM information that the insurer reports to its senior management and board of directors or appropriate committee. Whilst the format, content and structure of the ORSA Report is tailored for the regulator, the content should be based on the insurer's internal reporting of its ERM information.

Key information to be included in ORSA Report

- 1.13. To aid IPEC's understanding of the information provided in the ORSA Report, the Report should include the following key information:
 - i. Identification of the accounting basis for the report; and
 - ii. The date or time period that numerical information represents.
- 1.14. The insurer is required to include in the ORSA Report a short summary of material changes to the ORSA from the prior year and include supporting rationale for the changes to ORSA.

Supporting material to ORSA Report

- 1.15. IPEC reserves the right to request and review the following supporting material to ORSA Report:
 - i. underwriting policies;
 - ii. investment policies;
 - iii. claims policies;
 - iv. statement on the insurer's risk appetite;
 - v. reinsurance policies;
 - vi. operational risk management policies; and
 - vii. any other risk management policies or programs that may aid IPEC in understanding information contained in the ORSA Report.



Timing of the submission of the ORSA Report

- 1.16. The ORSA report is to be submitted to IPEC annually every fourth quarter. However, should an insurer observe any material changes in their risk profiles, a detailed report/ update should be submitted immediately to IPEC.

Signatories to the ORSA Report

- 1.17. The senior management of the organization is required to play a crucial role in conducting and compiling the ORSA report. A sign off by senior management would be required upon submission of the report to IPEC.

Requirement to internally document ORSA

- 1.18. In addition to the ORSA Report the insurer should internally document the ORSA results to facilitate a more in-depth review by IPEC through analysis and examination. The review by IPEC may depend on several factors, such as:
- i. The nature and complexity of the insurer's operations;
 - ii. The financial position and/or prioritization of the insurer; and
 - iii. The external environment/considerations such as the economic environment.
- 1.19. The factors listed above may result in IPEC requesting additional information about the insurer's ERM framework through the financial analysis or examination process.
- 1.20. Additional information is interpreted as the supporting material to the ORSA Report.



2. Description of the Insurer's Enterprise Risk Management Framework

- 2.1. The first section (Section 1) of the ORSA Report should provide a high-level summary of the insurer's ERM framework.
- 2.2. The ORSA Report should describe the following:
 - i. How the insurer identifies and categorise relevant and material risks and manages those risks as it executes its business plan/strategy.
 - ii. Monitoring processes and methods, provide risk appetite statements, and explain the relationship between risk tolerance and the amount and quality of risk capital.
 - iii. The assessment tools (feedback loops) used to monitor and respond to any changes in the insurer's risk profile due to economic changes, operational changes, or changes in business strategy.
 - iv. How the insurer incorporates new risk information in order to monitor and respond to changes in its risk profile due to economic and/or operational changes and changes in strategy.
- 2.3. Any weaknesses or strengths noted by IPEC in evaluating this section of the ORSA Report will have relevance to IPEC's ongoing supervision of the insurer, and IPEC will consider the entirety of the risk management program and its appropriateness for the risks of the insurer.



3. Insurer Assessment of Risk Exposures

- 3.1. This section of the ORSA Report provides a high-level summary of the quantitative and/or qualitative assessments of risk exposure in both normal and stressed environments for each material risk.
- 3.2. The assessment process should consider a range of outcomes using risk assessment techniques that are appropriate to the nature, scale and complexity of the risks.
- 3.3. The ORSA Report should include detailed descriptions and explanations of the following:
 - i. Material and relevant risks identified by the insurer;
 - ii. The assessment methods used to conduct the assessment process;
 - iii. Key assumptions made during the assessment process;
 - iv. Risk mitigation activities; and
 - v. Outcomes of any plausible adverse scenarios assessed.

Material risks to be included in the ORSA Report

- 3.4. Insurers must address the following material risks in the ORSA Report:
 - i. Market risks;
 - ii. Credit risk;
 - iii. Liquidity risk;
 - iv. Underwriting and insurance risk;
 - v. Operational risk;
 - vi. Other risks relating to insurance groups, e.g., group contagion risk, both at group and subsidiary level (e.g., subsidiary companies should discuss the risk of contagion in the context of them belonging to a group); and



- vii. Other risks not considered adequately covered by the SCR calculation, or example reputation and strategic risks.
- 3.5. The above list is not exhaustive and IPEC recommends that the insurer classifies and includes risk in the ORSA Report in a manner that is consistent to the way in which risks are classified and managed in the business.

Risk assessment methods

- 3.6. The assessment of each risk will depend on the risk's specific characteristics. Some risks, like credit risk, are better assessed with quantitative techniques, whilst some risks, like operational risks, are better assessed with qualitative techniques.

Considerations of quantitative risk assessment methods

- 3.7. The quantitative methods for assessing the insurer's risks should consider the likelihood and impact that each material and relevant risk identified by the insurer will have on the insurer's balance sheet, income statement and future cash flows. The insurer may use the following methods to determine impact of the risks in its future financial position:
- i. simple stress testing; or
 - ii. more complex stochastic analyses. *(See guideline on Stress testing for further detail GRS 12)*
- 3.8. The insurer, when evaluating a risk, should analyze the results under both normal and stressed environments.

Consideration of impact of risk on capital



- 3.9. The insurer's risk assessment should consider the impact of stress on capital, which may include consideration of risk capital requirements, available capital, as well as regulatory, economic, and/or other views of capital requirements.

Risk Tolerance Statements

- 3.10. Any risk tolerance statements should include the following:
- i. material quantitative and qualitative risk tolerance limits; and
 - ii. how the tolerance statements and limits are determined.
- 3.11. The risk tolerance statement must take into account relevant and material categories of risk and the risk relationships that are identified.

Insurer's Risk Profile

- 3.12. Each insurer has a unique risk profile and should utilise assessment techniques that are applicable to its risk profile. There is no standard set of stress conditions that each insurer should test, however, IPEC may provide input regarding the level of stress that the insurer's management should consider for each risk category.
- 3.13. The ORSA Report should provide a general description of the insurer's process of model validation, including factors considered and model calibration.
- 3.14. Unless a particular assumption is stochastically modelled, the insurer's management should set assumptions regarding the expected values based on its current anticipated experience, which it expects to occur during the next year or multiple years, and consideration of expert judgment.



- 3.15. By identifying each material risk category independently and reporting results in both normal and stressed conditions, the insurer's management and IPEC are better placed to evaluate certain combinations that could course the insurer to fail.



4. Assessment of Risk Capital and Prospective Solvency Assessment

- 4.1. This section of the ORSA Report should describe how the insurer combines the qualitative elements of its risk management policy with the quantitative measures of risk exposure in determining the level of financial resources needed to manage its current business and over a longer-term business cycle.
- 4.2. The information contained in this Section of the ORSA Report is intended to assist IPEC in assessing the quality of the insurer's risk and capital management.

Assessment of Risk Capital

- 4.3. The assessment of risk capital, available capital is compared against the various risks that may adversely affect the enterprise. The insurer should consider the following:
- i. how the capital assessment is integrated into the insurer's management and decision-making culture;
 - ii. how the insurer evaluates its available capital; and
 - iii. how risk capital is integrated into capital-management activities.
- 4.4. The insurer should have sound processes for assessing capital adequacy in relation to its risk profile. The processes which assess risk capital through myriad metrics and future forecasting periods, include the following:
- i. varying business planning time horizons;
 - ii. valuation approaches; and
 - iii. capital management strategies.



- 4.5. While a single internal risk capital measure may play a primary role in internal capital adequacy assessment, insurers must evaluate the following:
- i. how risk and capital interrelate over various business planning horizons;
 - ii. accounting frameworks (i.e., economic and/or regulatory frameworks).
- 4.6. This will aid IPEC in understanding the insurer's capital adequacy in relation to its aggregate risk exposures.
- 4.7. The risk capital assessment must include a comparative view of risk capital from prior year, including an explanation of the changes.
- 4.8. The analysis of an insurer's risk assessment of risk capital requirements and associated capital adequacy description should be accompanied by a description of the approach used in conducting the analysis. This includes key methodologies, assumptions and considerations used in quantifying available capital and risk capital.

Prospective Solvency Assessment

- 4.9. The insurer's capital assessment process should be closely tied to business planning. Thus, the insurer should have a robust capital forecasting capability that support its management of risk over the planning time horizon in line with its stated risk appetite.
- 4.10. The insurer should consider the prospect of operating in both normal and stressed environments when making its capital forecasts.



- 4.11. The insurer's prospective solvency assessment should demonstrate it has the financial resources necessary to execute its multi-year business plan in accordance with its stated risk appetite. If the insurer does not have the necessary available capital to meet its current and projected risk capital requirements then it should describe the management actions it has taken (or will take) to remedy any capital adequacy concerns.
- 4.12. The insurer should project its future financial position, including its projected economic and regulatory capital to assess its ability to meet the regulatory capital requirements. Factors to be considered are:
- i. The insurer's current risk profile;
 - ii. Its risk management policy;
 - iii. Its quality and level of capital; and
 - iv. Any changes to its current risk profile caused by executing the multi-year business plan.
- 4.13. While the prospective solvency assessment includes capital projections, the prospective solvency assessment should include a discussion of prospective risks impacting the capital projections.
- 4.14. This discussion should address whether risk exposures are expected to increase or decrease in the future and what steps the insurer plans to take that may change its risk exposures.
- 4.15. The term "prospective" should pertain to both existing risks likely to intensify and emerging risks with the potential impact the insurer in the future.
- 4.16. The prospective solvency assessment should take into account any risks associated with group membership.



5. GRS 5 A1: Glossary

Catastrophe risk: The risk that a single event, or series of events, of major magnitude, usually over a short period (often 72 hours), leads to a significant deviation in actual claims from the total expected claims.

Claims risk: An underwriting risk. A change in value caused by ultimate costs for full contractual obligations (claims without administration costs) varying from those assumed when these obligations were estimated.

Counterparty credit risk: The risk of a change in value due to actual credit losses deviating from expected credit losses due to the failure to meet contractual debt obligations.

Default risk: The risk of a change in value caused by the fact that actual default rates deviate from expected default rates with respect to non-payment of interest or principle.

Economic balance sheet: Balance sheet statement based on one of those accounting approaches using market-consistent values for all current assets and current obligations relating to in-force business, including off-balance sheet items.

Economic capital: Internally defined capital measure based on the companies' valuation of the market-consistent value of assets minus the market-consistent value of obligations.

Economic value: The practise of valuing assets and liabilities on market values where observable with a given quality (mark-to-market), where not, on market-consistent valuation techniques (mark-to-model).

Equity risk: The risk of a change in value caused by deviations of the actual market values of equities and/or income from equities from their expected values.



Expense risk: The risk of a change in value caused by the fact that the timing and/or the amount of expenses incurred differs from those expected, e.g., assumed for pricing basis.

Foreign exchange risk: The risk of a change in value caused by the fact that actual foreign currency exchange rates differ from those expected.

Funeral insurance: A life policy with a low sum assured intended to pay for the burial costs on the death of the insured.

Group insurance: Contracts in which insurance cover is provided to a number of insured people (normally a workforce) or a number of other individual risks of one party, usually the counter-party, or many affected parties, which are not necessarily parties under the contract, under a single master contract.

Inflation risk: The risk of a change in value caused by a deviation of the actual market-consistent value of assets and/or liabilities from their expected value, due to inflation, e.g., price inflation, wage inflation, etc., leading to an unanticipated change in insurance cost and/or impact of an insurance contract, e.g., with respect to contract limits.

Interest rate risk: The risk of a change in value caused by a deviation of the actual interest rates from the expected interest rates.

Lapse risk: The risks of a change in value caused by deviations from the actual rate of policy lapses from their expected rates.

Life insurance: Category of insurance contracts for which the benefit payment is based on the occurrence of death, disability, or critical illness of the insured within the specified coverage term, or on the life status of the insured at maturity.

Liquidity risk: The risk stemming from the lack of marketability of an investment that cannot be bought or sold quickly enough to prevent or minimize a loss.



Longevity risk: Type of biometric risk. A change in value caused by the actual mortality rate being lower than the one expected.

Management risk: Type of business risk. The risk associated with an incompetent management or a management with criminal intentions.

Minimum capital requirement: The capital level representing the final threshold that triggers ultimate supervisory measures in the event that it is breached.

Model risk: The risk that a model is not giving correct output due to a misspecification or a misuse of the model.

Morbidity risk: Type of biometric risk. A change of value caused by the actual disability and illness rates of the persons insured deviating from the ones expected.

Mortality risk: Type of biometric risk. A change in value caused by the actual mortality rate being higher than the one expected.

Non-life insurance: Generic term used to refer to all types of insurance business other than Life insurance, including for example Property insurance, Liability insurance, Motor insurance, Accident insurance, and Health insurance.

Operational risk: Risk of a change in value caused by the fact that actual losses, incurred for inadequate or failed internal processes, people and systems, or from external events (including legal risk), differ from the expected losses.

ORSA: is defined as a confident internal assessment of the material and relevant risks identified by the insurer associated with an insurer's current business plan and the sufficiency of capital resources to support those risk.

Premium risk: An underwriting risk. A change in value caused by ultimate costs for full contractual obligations (claims without administration costs) varying from those assumed when these obligations were estimated.



Reinsurance: Type of risk mitigation on the basis of an insurance contract between one insurer or pure reinsurer (the reinsurer) and another insurer or pure insurer (the cedant), to indemnify against losses, partially or fully, on one or more contracts issued by the cedant in exchange for a premium.

Reserve risk: Relates to incurred claims, i.e., existing claims, (e.g., including IBNR and IBNER), and originates from claim sizes being greater than expected, differences in timing of claims payments from expected, and differences in claims frequency from those expected.

Risk margin: A generic term, representing the value of the deviation risk of the actual outcome compared with the best estimate, expressed in terms of a defined risk measure.

Solvency capital requirement: The amount of capital to be held by an insurer to meet the Pillar I requirements under ZICARP.

Technical provision: An insurer's contractual obligations/rights under an insurance contract.

Total balance sheet approach: Principle which states that the determination of an insurer's capital that is available and needed for solvency purposes should be based upon all assets and liabilities, as measured in the regulatory balance sheet of the insurer, and the way they interact.